

GLOBAL CRISES AND SUSTAINABLE ECONOMIC POLICY: THEORETICAL APPROACHES AND NATIONAL PERSPECTIVES

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ABSTRACT

In the contemporary globalized economy, increasing interdependence among states has heightened vulnerability to crises of financial, geopolitical, health-related, and environmental nature. This paper examines the dynamics of global crises and their implications for both international and national economic systems, with a particular focus on the necessity of sustainable economic policies. It argues that conventional growth-centered approaches are insufficient, as effective crisis management requires the integration of economic, social, and environmental dimensions. Drawing on case studies such as the 2008 financial crisis and the COVID-19 pandemic, the analysis highlights the limitations of market self-regulation and underscores the critical role of state intervention and international cooperation. The study further explores policy tools such as green investment, social inclusion, and fiscal flexibility, emphasizing their relevance for long-term stability. Ultimately, it concludes that sustainable development, grounded in equity, ecological responsibility, and global collaboration, is the only viable strategy to ensure resilience and safeguard future generations.

Keywords: Global crises; sustainable economic policy; financial instability; economic development models; social equity; environmental sustainability; economic resilience; international cooperation; fiscal and monetary flexibility; green investment; climate change; globalization; crisis management; policy adaptation; inclusive growth; renewable energy transition; governance reform; socioeconomic inequality; international institutions; long-term stability.

INTRODUCTION

In the contemporary globalized world, economic systems are characterized by a high degree of integration and interdependence, which significantly increases their vulnerability to crises. Global crises—whether financial, geopolitical, health-related, or environmental—have become central themes in modern economic discourse. These processes not only generate challenges but also necessitate the fundamental reform of economic development models.

The aim of this paper is to classify global crises, analyze their impact on both global and national economic systems, and highlight the concept of sustainable economic policy, with particular attention to its adaptation

within the Georgian context.

MAIN BODY

Within the framework of this study, when discussing the chosen topic, it is important to emphasize such issues as the nature of global crises and their impact on the economy. The modern world economic system is characterized by increasing instability and complexity. Global crises—whether financial, ecological, humanitarian, or geopolitical—create challenges that individual states find difficult to overcome independently. *“The process of globalization has rendered countries increasingly interdependent, transforming crises from local events into global threats”* [1].

As is well known, financial crises often trigger economic recessions, rising unemployment, and a deepening of social inequality. For example, the global financial crisis of 2008 pushed millions of people below the poverty line, particularly in developing countries. Similar consequences followed the COVID-19 pandemic, which not only overwhelmed healthcare systems but also disrupted global supply chains and international trade [2].

In light of these realities, the significance of the concept of sustainable development has become ever more apparent in the context of global crises. The UN’s *Brundtland Report* (WCED, 1987) defines sustainable development as *“development that meets the needs of the present without compromising the ability of future generations to meet their own needs.”* The foundation of this concept rests on the integration of three dimensions:

- Economic growth,
- Social equity and well-being,
- Environmental sustainability.

For sustainable economic development, it is vital that these three pillars are closely interconnected, since the neglect of even one undermines the integrity of the entire system. Therefore, in the process of overcoming crises, it is inadmissible to focus solely on economic indicators; it is equally important to take into account social and ecological factors [3].

As current global trends in economic development demonstrate, the adaptation of national economic policy to crisis conditions is of paramount importance. The task of economic policy is not only to ensure short-term stabilization but also to safeguard long-term sustainability. For instance, as mentioned before, after the 2008 financial crisis, governments in Europe and

the United States strengthened banking regulations to avert the recurrence of systemic risks [4].

The COVID-19 pandemic clearly illustrated that market self-regulation alone is insufficient. *"An economic policy entirely dependent on market forces cannot meet societal needs in times of crisis."* For this reason, state intervention and participation are crucial during such periods—through social assistance programs, healthcare funding, and business support measures. These interventions are indispensable for stabilizing a country's economy [5].

It is evident that in this global context, the proper selection and definition of sustainable economic policy instruments is essential. Implementing sustainable policy requires a multifaceted approach, among which the following aspects are particularly important:

- **Green investments and environmental policy** – According to an OECD study conducted in 2021, investments in renewable energy not only generate environmental benefits but also create new jobs and foster innovative technological markets [6].
- **Social inclusiveness** – Economic development should be measured not only in terms of GDP but also through the expansion of human capabilities [7].
- **Fiscal and monetary flexibility** – IMF research in 2022 emphasized that during crises, rapid activation of stimulus mechanisms is necessary, yet it is equally important to maintain long-term fiscal stability [8].

Finally, overcoming global economic crises requires effective international cooperation. Global crises transcend national borders and cannot be addressed through domestic policies alone. Climate change, for example, represents one of the greatest global threats, which cannot be mitigated at the national level. Consequently, the United Nations' Sustainable Development Goals (SDGs) were developed on the foundation of international collaboration. *"The SDGs are not merely a declaration; they constitute a concrete action plan whose implementation is an obligation for all states."*

CONCLUSION

The dynamics of global crises demonstrate that economic development can no longer be regarded as a process determined solely by market mechanisms. The multifaceted nature of crises—financial, ecological, healthcare-related, and geopolitical—has revealed that economic policy must be flexible, systemic, and sustainability-oriented. Whereas economic growth was once considered the primary measure of success, in contemporary conditions its effectiveness is judged by the extent to which states and international organizations succeed in harmonizing economic processes with the principles of social equity and environmental sustainability.

The concept of sustainable development, formulat-

ed in the UN's *Brundtland Report* (WCED, 1987) and later institutionalized through the Sustainable Development Goals (SDGs), today represents not merely a theoretical framework but a practical strategy without which economic policy cannot be comprehensive. Crises have made it clear that economic stability cannot be achieved if the reduction of social inequality, the accessibility of education and healthcare, and the fight against climate change are disregarded.

Although states operate within different economic contexts, shared challenges require coordinated and multidimensional approaches. Overcoming global crises cannot be accomplished through national policies alone. What is needed is international cooperation, the redistribution of financial and technological resources, the sharing of knowledge, and the acceptance of collective responsibility. At the same time, sustainable economic policy is not a one-time response to crises; it is a long-term vision that requires institutional reform, the adoption of innovative economic models, and the integration of values that link economic development with social well-being and environmental protection.

In conclusion, it may be stated that global crises, despite their negative consequences, also represent opportunities, as they compel us to reconsider traditional economic paradigms and to construct more sustainable and efficient economic models. A sustainable economic policy grounded in social justice, ecological responsibility, and international cooperation constitutes the only path that will enable countries not only to manage the consequences of crises but also to establish a model of economic development that genuinely safeguards human potential and the interests of future generations.

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